

DEBAJYOTI CHAKRABORTY

CASE STUDY ▲

Dipanwita Gupta, 43
Owner, digital marketing agency, *Kolkata*

laments Manoj Kumar Jha, a 50-year-old insurance professional in Patna, who earns Rs 6.5 lakh a year. "We have stopped travelling, going for movies or attending social functions." Not only has the rise in prices of essential goods inflated his own household budget, the rise in medical costs and therefore of insurance premiums, has also affected his livelihood. Clients are reluctant to renew their policies.

In October, India's consumer price inflation (CPI), a measure of prices of retail goods, rose to a 14-month high of 6.2 per cent, breaching the upper limit of 2-6 per cent the Reserve Bank of India (RBI) has set (see graphic, *Tightening the Purse Strings*). Food inflation was a big culprit—food and beverages inflation stood at 9.7 per cent in October, the vegetable inflation alone clocking above 42.2 per cent, a 57-month high. And though CPI sobered down to 5.2 per cent by December, food inflation remained high at 8.4 per cent. Meanwhile, house rents are rising, telecom bills escalating and credit becoming more expensive. Wage growth, by contrast, has slowed down considerably. In urban areas, private companies' real wage growth dropped from over 10 per cent till Q3FY23 to 3-4 per cent currently. Intent on increasing productivity, companies are leveraging AI and technology to drive efficiencies, compounding the blow, according to Abneesh Roy, executive director at Nuvana Institutional Equities.

"The middle class of the country, the ones who offer reasonable value in the middle segment, is finding its fortunes shrinking"

– SURESH NARAYANAN
CMD, Nestle India

